22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of March 31, 2020 to be effective for the year ended December 31, 2020 is 27.7%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three month period ended March 31, 2020 and 2019 are calculated as follows:

(1) Ordinary Shares

(In millions of Korean won, thousands of number of shares)		2020		2019
Profit for the period attributable to owners of the parent company	₩	4,889,599	₩	5,107,490
Profit for the period available for ordinary shares		4,297,257		4,488,752
Weighted-average number of ordinary shares outstanding		5,969,783		5,969,783
Basic earnings per ordinary share *(in Korean won)*	₩	720	₩	752

(2) Preference Shares

(In millions of Korean won, thousands of number of shares)		2020		2019
Profit for the period attributable to owners of the parent company	₩	4,889,599	₩	5,107,490
Profit for the period available for preference shares		592,342		618,738
Weighted-average number of preference shares outstanding		822,887		822,887
Basic earnings per preference share *(in Korean won)*	₩	720	₩	752

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three month period ended March 31, 2020 and 2019.

24. Cash Flows

Adjustments and changes in assets and liabilities arising from operating activities for the three month period ended March 31, 2020 and 2019 are as follows:

- Adjustments

(In millions of Korean won)		2020		2019
Adjustments for:				
Income tax expense	₩	1,871,926	₩	1,869,393
Financial income		(2,117,124)		(1,284,064)
Financial expenses		1,725,650		753,498
Post-employment benefits		305,463		280,234
Depreciation		6,591,167		6,840,816
Amortization		814,438		254,728
Bad debt expenses (reversal)		26,524		15,518
Dividend income		(36,029)		(34,711)
Share of profit of associates and joint ventures		(60,644)		(77,681)
Gain on disposal of property, plant and equipment		(35,385)		(89,679)
Loss on disposal of property, plant and equipment		9,166		43,948
Loss on valuation of inventories		338,707		684,245
Gain on disposal of investments		(24,005)		(11,363)
Others		65,312		(820)
Total	₩	9,475,166	₩	9,244,062

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)		2020		2019
Changes in assets and liabilities :				
Increase in trade receivables	₩	(415,809)	₩	(1,603,834)
Decrease (increase) in other receivables		852,573		(237,431)
Increase in advance payments		(14,922)		(134,806)
Decrease (increase) in prepaid expenses		(394,549)		119,105
Increase in inventories		(1,763,793)		(2,786,782)
Increase in trade payables		1,062,153		822,177
Increase (decrease) in other payables		110,517		(948,085)
Increase (decrease) in advances received		(127,657)		65,936
Decrease in withholdings		(51,497)		(178,942)
Decrease in accrued expenses		(1,036,733)		(4,509,347)
Increase in provisions		596,520		841,609
Payment of post-employment benefits		(254,411)		(97,553)
Others		(915,277)		(96,162)
Total	₩	(2,352,885)	₩	(8,744,115)

For the three month period ended March 31, 2020 and 2019, cash outflows from repayment of the principal (financial activities) were ₩ 203,467 million and ₩ 149,229 million, while cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 28,609 million and ₩ 23,636 million, respectively.